Opinion **Unhedged**

Pressure on the Fed

More on why the central bank's balance sheet is likely to grow again, and soon

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Good morning. Yesterday the outplacement firm Challenger, Gray & Christmas released its lay-off report for October. It found that companies announced 153,000 cuts last month, 175 per cent more than in October 2024. But the number of announced lay-offs and the number of lay-offs are two different things. We have good reason — in the form of initial jobless claims, which are stable — to think that lay-offs are not leaping higher. So we have a puzzle: why is the increase in lay-off announcements outrunning the increase in lay-offs? Send solutions to unhedged@ft.com.

The fed balance sheet, again

Yesterday Unhedged discussed the views of Joseph Wang, one of several voices arguing that the Fed will soon have to increase the size of its balance sheet. Massive deficits funded with short-term debt require the Treasury's bank account (the Treasury general account) to grow. This expansion sucks cash (or, if you prefer, "liquidity") out of the financial system. Scarce liquidity, in turn, forces short-term interest rates up — potentially wresting control of monetary policy from the Federal Reserve. Wang thinks that the Fed will shortly have to intervene in the money markets directly, as it did in 2019 and 2020, buying Treasury bills to push cash into the system.

This is tricky stuff. Like Bayesian statistics or the NFL's eligible receiver rule, money market mechanics seem clear when you focus on them, but instantly become confusing again as soon as your mind wanders. So I thought we might take another look at the issue, from another angle; the topic may become quite important for market watchers in the coming months.

There are, I am sorry to say, five different short-term interest rates to keep track of here. They are:

The standing repo facility rate (SRF): This is the rate at which the Fed will lend with Treasury securities as collateral. When the Fed does these loans — taking securities, handing out cash — financial system liquidity increases. In theory, the SRF is a "ceiling" for short-term rates, because borrowers will not want to borrow at a more expensive rate than the one the Fed offers. The facility was tapped last week for the first time in a long time, including for $50bn on Halloween (boo!). This got everyone talking about liquidity problems in money markets.

Interest rate on reserve balances (IORB): This is the interest rate that the Fed pays on reserves that banks deposit with it. As a monetary tool, it works by controlling banks' opportunity cost for lending. If the IORB is lowered, banks will lend more in short-term markets, because they earn less simply parking reserves with the Fed. More bank lending lowers rates and increases liquidity in the system.

Fed funds rate (FFR): This is the rate at which banks lend to each other overnight without collateral, and the rate the Fed officially targets. But it is increasingly irrelevant. Daily FFR lending volume is less than $100bn. SOFR volumes (see below) are 30 times higher.

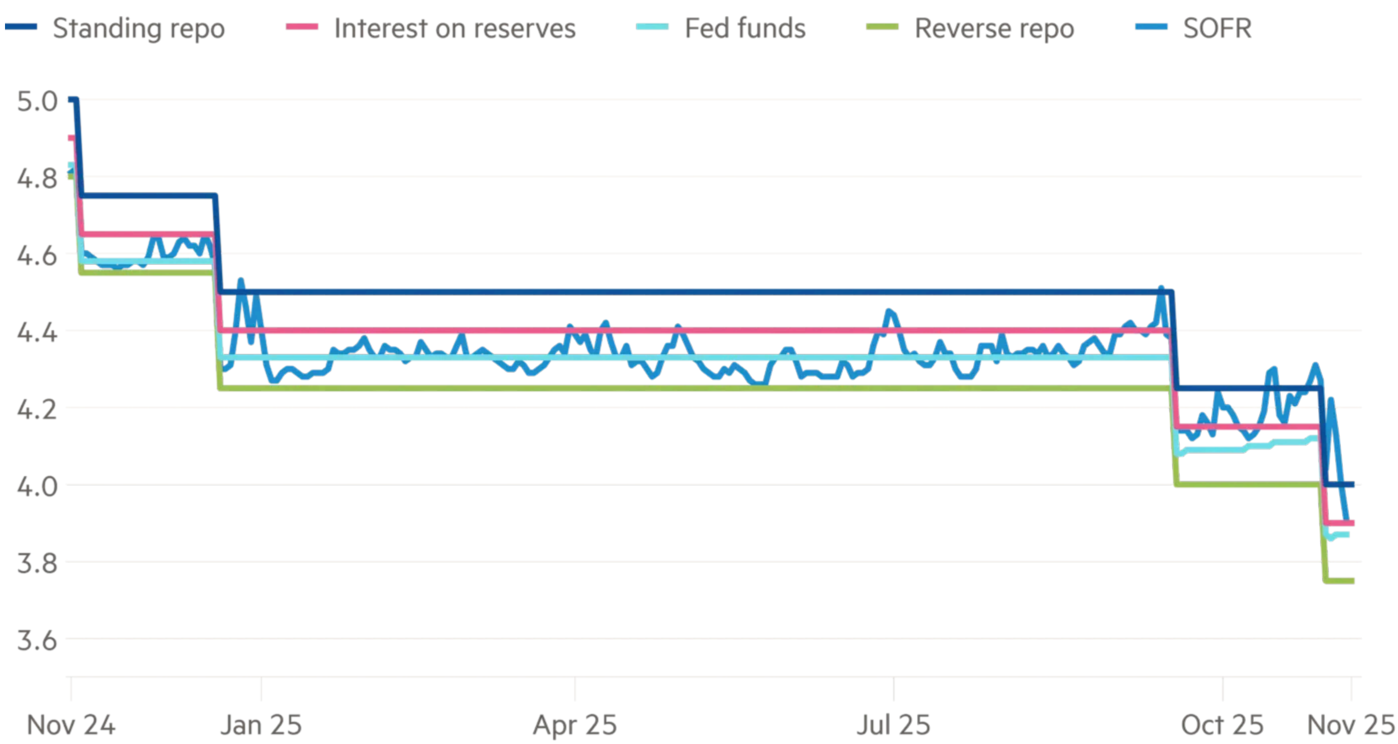
Overnight reverse repurchase rate (RRP): This is the rate at which Fed will borrow, using securities as collateral. Such borrowing absorbs liquidity, and the RRP is a "floor" in the sense that no one would lend below it. There is essentially no borrowing at this rate now, because short rates are squeezed up against the ceiling, not squished to the floor.

Secured overnight financing rate (SOFR): a market rate at which institutions borrow from one another short term with Treasury securities as collateral. While the Fed does not officially target this rate, it's the one that matters most, and you can be sure the Fed watches it very closely indeed.

Below is a graph of the five rates over the past year (it was inspired by a similar one drawn by Vítor Constâncio, former vice-president of the European Central Bank, on his Substack; more from Constâncio shortly).

Pressure drop

Short-term interest rates, %



Source: Federal Reserve, Toots and the Maytals

The chart shows the tightness of short-term lending markets. The most important rate, SOFR, has been pulling away from the Fed's target, occasionally breaking above IORB, and even climbing above the SRF rate. This is the Fed, at the margin, losing control of monetary policy as cash becomes scarce. The recent reduction in the IORB and the SRF have brought SOFR down, but the fight may not be over. (Why the SRF sometimes fails to work as a ceiling is a complex question, but seems to mostly stem from the capital charges associated with Fed repo).

Constâncio's view of why the Fed has to worry about SOFR spikes differs from Wang's. Wang thinks it's about monetary control. Constâncio's view (in which he is hardly alone) is that the problem is that if short rates rise and become more volatile, a crucial buyer of Treasury securities — hedge funds engaging in leveraged basis trades — will become forced sellers, causing a proper market mess.

Basis traders buy Treasuries and short Treasury futures, and profit when the difference in the prices (the "basis") closes. Constâncio refers to a now famous recent Fed paper that found that hedge funds domiciled in the Cayman Islands were actually the largest foreign holders of Treasury securities, bigger than China or Japan. If high, volatile SOFR blows the hedgies out of their trades, it will be ugly.

Constâncio does not think this is going to happen, because he thinks (like Wang) that the Fed will have to increase its balance sheet again, ensuring "ample reserves":

> With this policy, it is quite easy for the Fed to stabilise liquidity and the [SOFR] repo rate . . . The fact that it has not done it so far can only be the result of divergences within the Board [of Fed governors] regarding the balance sheet size and the adoption of a policy that could be characterised as quantitative easing. Secretary [Scott] Bessent and some Fed Board members oppose it for ideological reasons . . . if SOFR remains too high, the Fed will have to take whatever steps are necessary to avoid the dangerous unwind of the basis trade. A significant liquidity crisis this time should be unlikely.

This sounds right to me. The stresses in the money market look resolvable. But in any market, there is always room for surprises and mistakes.

One good read

The sceptics were right.

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